

Notes: Lazear (AER, 2000)

Performance Pay and Productivity

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1 Big picture

- **Question.** Do workers respond strongly to monetary incentives in a real workplace, and what exactly changes when a firm switches from hourly wages to piece rates?
- **Setting.** Safelite Glass Corporation, a large auto-glass installer, gradually moved installers from hourly wages to a piece-rate Performance Pay Plan (PPP) during 1994–1995.
- **Treatment.** The new compensation rule paid installers roughly by units installed, while preserving a wage guarantee close to the old hourly wage. In the model, compensation is:

$$C(e) = \max\{W, be - K\}.$$

- **Data advantage.** The firm provided person-month output and pay data for installers over a 19-month period. Many workers are observed under both compensation regimes.
- **Main productivity result.** Switching to PPP is associated with a 44 percent increase in productivity for the firm as a whole. With worker fixed effects, the within-worker incentive effect is about 22 percent.
- **Sorting result.** Roughly half of the total productivity gain appears to come from sorting: the piece-rate regime attracts and retains more productive workers.
- **Pay result.** Existing workers receive about a 10 percent pay increase under the new plan, so part of the productivity gain is shared with labor.
- **Variance result.** Output dispersion rises after the switch, consistent with the model prediction that piece rates let high-ability or highly motivated workers separate themselves from the mass of workers at the hourly-wage standard.
- **Quality result.** The paper argues that quality did not visibly collapse, partly because Safelite’s repair/re-work assignment system made quality failures costly to workers or to shops.
- **Main takeaway.** Incentive pay can have very large real-world productivity effects, but piece rates are not universally optimal. They work best when output is measurable and quality can be protected.

2 Incremental contribution of the paper

- **First clean personnel-economics field evidence.** Earlier theory predicted large incentive effects from pay-for-performance, but convincing worker-level field evidence was scarce. This paper provides a rare firm-level natural experiment with individual productivity and pay records.
- **Separates incentives from sorting.** The paper does not stop at showing that output rose. By comparing regressions with and without worker fixed effects, it separates the within-worker effort response from the change in workforce composition.
- **Links theory tightly to an observed compensation formula.** The model is not generic. It is tailored to Safelite’s actual piece-rate-with-guarantee plan and derives predictions for mean output, ability composition, and variance.
- **Shows incentives can dominate laboratory or motivational concerns.** The paper directly addresses claims that monetary incentives may reduce intrinsic motivation. In this setting, workers respond strongly and positively to prices.
- **Adds a firm-profit lens.** The paper connects worker output and worker pay to firm profitability: productivity rises much more than pay, suggesting that the firm captured substantial gains as well.
- **Clarifies why piece rates are uncommon.** The paper does not claim all firms should use piece rates. It explains that measurement costs, quality distortion, risk shifting, and monitoring constraints can rationally keep many firms on hourly wages.
- **Broader research contribution.** The paper became a benchmark for later empirical work in personnel economics because it shows how internal firm data can test basic price-response predictions at the worker level.

3 Data and measurement

3.1 Safelite setting and implementation

Safelite Glass Corporation installs and repairs auto glass. During 1994–1995, after a change in management, the firm phased in a new Performance Pay Plan (PPP). Stores were switched by region rather than by individual worker productivity. This implementation detail is important because it weakens the concern that high-output workers were deliberately selected into PPP first.

Interpretation: The setting is close to a firm-level field experiment. Workers did not choose the timing of the regime switch, and many workers are observed before and after the same change in incentives.

3.2 Main sample

- The unit of observation is a worker-month.
- The core sample contains 29,837 good person-month observations.
- There are 2,755 installers in the worker-fixed-effect regressions.
- The sample spans 19 months.
- Observations with partial months or incomplete data are dropped.

Interpretation: This panel structure is the core empirical advantage of the paper. The same worker can be compared under hourly pay and piece-rate pay, allowing the paper to separate effort responses from worker composition.

3.3 Key variables

- **PPP dummy:** equals one when a worker is on the Performance Pay Plan in that month.
- **Units-per-worker-per-day:** units of glass installed per eight-hour day; the main productivity measure.
- **Pay-per-day:** actual pay per eight hours worked, including guarantees and other payments.
- **Cost-per-unit:** worker pay divided by units installed.
- **Separation dummy:** equals one if the worker quits during the month.
- **Worker fixed effects:** estimated productivity components used to proxy ability.

Interpretation: The central measured outcome is output per worker-day, not profits or sales. That makes the test particularly direct: the paper asks whether workers install more units when the marginal return to output rises.

3.4 Hourly wages versus PPP

Under hourly wages, workers received a fixed hourly wage conditional on meeting a minimum acceptable output standard. Under PPP, workers received the greater of a wage guarantee and a piece-rate formula. The guarantee made the new system less risky for low-output workers while still giving high-output workers a marginal incentive to produce more.

$$\text{Compensation}_{it} = \max\{W, be_{it} - K\}.$$

Interpretation: The guarantee is crucial. It means the plan is not a pure piece-rate system for all workers. Some workers remain in the guaranteed-pay region, while high-output workers face strong marginal incentives.

4 Model and empirical specifications

4.1 Worker production and effort

Let e denote output, X effort, and A ability. Output is:

$$e = f(X, A), \quad f_X > 0, \quad f_A > 0.$$

Workers have utility:

$$U = U(Y, X), \quad U_Y > 0, \quad U_X < 0.$$

Interpretation: Higher-ability workers need less effort to achieve the same output. Therefore, a uniform hourly wage with a minimum output standard gives high-ability workers little reason to produce beyond the standard.

4.2 Hourly wage with minimum standard

The firm sets a minimum output standard e_0 and pays hourly wage W . The minimum-ability worker who accepts the job satisfies:

$$U(W, X_0(A_0)) = U(0, 0),$$

where $X_0(A)$ is the effort needed to produce e_0 .

Interpretation: Hourly pay can induce everyone to meet e_0 , but it does not reward extra output. High-ability workers may either slack to the standard or leave for jobs that better reward their ability.

4.3 Piece rate with guarantee

Safelite's PPP is modeled as:

$$C(e) = \max\{W, be - K\}.$$

Workers below the kink still receive the guarantee; workers above the kink receive additional pay for extra output.

Interpretation: This plan preserves a floor for low-output workers but raises the marginal return to output for high-output workers. Thus, the model predicts higher effort for workers whose optimal output lies in the piece-rate region.

4.4 Core theoretical predictions

The paper's model generates three empirical predictions:

1. average output rises when the firm switches from hourly wages to piece rates;
2. average ability rises because high-ability workers are more attracted to the firm and may be less likely to leave;
3. the variance or range of output rises because piece rates reveal heterogeneity that hourly wages compress.

Interpretation: These predictions map directly into Tables 2–6 and Figures 2–3. The empirical part asks whether output, worker composition, and output dispersion move as the model predicts.

4.5 Baseline productivity regression

A simplified version of the baseline regression is:

$$\log(\text{Output}_{it}) = \alpha + \beta \text{PPP}_{it} + \Gamma_t + \varepsilon_{it},$$

where Γ_t includes month and year effects. To isolate within-worker incentive effects, the paper estimates:

$$\log(\text{Output}_{it}) = \alpha_i + \beta \text{PPP}_{it} + \Gamma_t + \varepsilon_{it}.$$

Interpretation: Without worker fixed effects, β captures both incentives and sorting. With worker fixed effects, β compares the same worker under the two regimes and is interpreted as the within-worker incentive effect.

4.6 Pay regression

The pay regression replaces output with log pay per day:

$$\log(\text{PayPerDay}_{it}) = \alpha_i + \beta \text{PPP}_{it} + \Gamma_t + \varepsilon_{it}.$$

Interpretation: This checks how much of the productivity gain is passed through to workers. The pay increase is much smaller than the output increase, implying gains for both workers and the firm.

5 Identification and empirical design

5.1 Source of variation

Identification comes from Safelite’s staggered transition from hourly wages to PPP across regions and over time. Because many installers are observed in both regimes, the paper can compare worker productivity before and after the switch while controlling for month, year, and worker-specific productivity components.

Interpretation: The best interpretation is a firm-level natural experiment. The switch was a management decision, not a worker-level randomized assignment, but the regional rollout and worker panel make the design unusually clean for personnel economics.

5.2 Main identifying assumption

The central assumption is that, absent PPP, the productivity of workers who switch would not have risen differentially exactly when their compensation changed. Month and year fixed effects absorb aggregate time trends, and worker fixed effects absorb permanent worker ability.

$$E[\varepsilon_{it} \mid \text{PPP}_{it}, \alpha_i, \Gamma_t] = 0.$$

Interpretation: The worker-fixed-effect specification is the most important design feature. It ensures that the estimated incentive effect is not simply the fact that better workers are observed more often under PPP.

5.3 Separating incentives from sorting

The total productivity effect is about 44 percent. When worker fixed effects are added, the PPP coefficient falls but remains large, implying a within-worker output gain around 22 percent. The difference between the total effect and the within-worker effect is interpreted as sorting and selection.

$$\text{Total effect} \approx \text{Incentive effect} + \text{Sorting effect}.$$

Interpretation: This decomposition is the core empirical contribution. The paper shows that the new pay plan changes both behavior of existing workers and the composition of the workforce.

5.4 Why the Hawthorne effect is unlikely

The paper tests whether output rises only temporarily after workers enter the new plan. Regressions include time since PPP adoption. The effect does not disappear quickly; if anything, time in the PPP regime is positively related to output.

Interpretation: This weakens the alternative explanation that workers briefly worked harder because a new program attracted attention. The output response looks persistent and incentive-based rather than purely novelty-based.

5.5 Turnover and hiring channels

The model predicts that high-output workers should be more attracted to, and less likely to leave, a piece-rate firm. Table 4 finds that high-output deciles show some decline in separation rates, though the differences are not statistically strong. The paper argues that much sorting occurs through hiring after PPP adoption.

Interpretation: Turnover evidence is weaker than the productivity evidence, but the fixed-effect patterns and changes in the distribution of output are consistent with a higher-productivity workforce under PPP.

5.6 Threats to identification

- **Nonrandom rollout.** If productive regions switched earlier, simple regressions could overstate PPP effects. Worker fixed effects and regional rollout details reduce this concern.
- **Management changes.** New management introduced PPP and may also have changed other practices. Month/year effects help, but the paper cannot fully rule out all simultaneous management changes.
- **Demand shocks.** Auto-glass demand may vary with weather or storms. Month and year controls absorb common seasonal and aggregate variation.
- **Quality changes.** Workers may produce more by cutting quality. The paper discusses Safelite’s re-work system and customer satisfaction data to address this concern.
- **Selection.** Sorting is not a flaw; it is one mechanism predicted by the model. The empirical challenge is separating sorting from incentives, which the fixed-effect design does.

Interpretation: The design is strongest for estimating the within-worker incentive effect. The broader sorting and profitability conclusions are plausible but depend more on interpretation and auxiliary evidence.

6 Tables and figures

6.1 Figure 1: Compensation Before and After at Safelite; Table 1: Data Description

Read:

- Figure 1 plots the old hourly wage schedule and the new piece-rate-with-guarantee schedule.
- Under hourly wages, everyone who meets the minimum standard e_0 receives W .
- Under PPP, workers still receive the guarantee at low output, but compensation rises with output above the kink.
- Table 1 defines the main variables and reports sample means. The average installer produces 2.98 units per worker-day and receives \$107 per eight-hour day.
- The PPP dummy mean of 0.53 shows that the sample is split roughly evenly across hourly and piece-rate regimes.

Economic message: The figure explains the economic mechanism: the guarantee protects low-output workers, while the upward-sloping piece-rate segment gives high-output workers a direct price for effort. Table 1 shows why the worker-month panel is rich enough to estimate this effect.

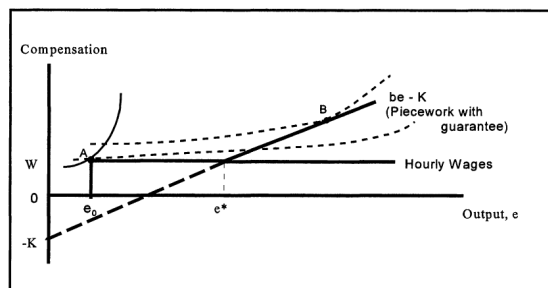


FIGURE 1. COMPENSATION BEFORE AND AFTER AT SAFELITE

(a) **Figure 1: Compensation Before and After at Safelite.** The upward-sloping segment is where the incentive effect operates.

Variable	Definition	Mean	Standard deviation
PPP dummy	A dummy variable equal to 1 if the worker is on PPP during that month	0.53	
Base pay	Hourly wage	\$11.48	\$2.94
Units-per-worker-per-day	Average number of units of glass installed by the given worker during the month in question	2.98	1.53
Regular hours	Regular hours worked during the given month	153	41
Overtime hours	Overtime hours worked that month	19	19
Pay	Pay actually received in a given month	\$2,254	\$882
Pay-per-day	Actual pay per eight hours worked; this differs from PPP pay in that the wage guarantee and other payments are included in the total	\$107	\$36
Cost-per-unit	Actual pay for a given worker, divided by the number of units installed by that worker in a given month	\$40	\$62
Log of pay-per-day	Log of actual pay per eight hours worked	4.62	0.29
Separation dummy	A dummy equal to 1 if the employee quit during this month	0.047	

Notes: There were 2,755 individuals who worked as installers over the 19-month period covered by the data. The unit of analysis is a person-month. There are 29,837 person-months of good data. Pay-per-day is calculated only for workers whose total hours in a month exceeded 10 and cost-per-unit only for workers whose monthly units installed exceeded 3.

(b) **Table 1: Data Description.** The table defines output, pay, hours, and separation variables used in the regressions.

6.2 Table 2: Mean and Standard Deviations of Key Variables by Pay Structure; Table 3: Regression Results

Read:

- Table 2 shows that output rises from 2.70 units per worker-day under hourly wages to 3.24 under piece rates.
- The standard deviation of output also rises, consistent with greater output dispersion under piece rates.
- Cost per unit falls from \$44.43 to \$35.24, suggesting that productivity rises more than pay.
- Table 3 shows that the simple PPP coefficient is 0.368, implying a 44 percent productivity gain.
- With worker fixed effects, the PPP coefficient is 0.197, implying about a 22 percent within-worker gain.
- The difference between 0.368 and 0.197 is interpreted as sorting and workforce-composition effects.

Economic message: These two tables contain the paper’s central result. Piece rates raise both average output and output dispersion, and the fixed-effect regression shows that about half of the total gain is a pure incentive effect for the same worker.

TABLE 2—MEAN AND STANDARD DEVIATIONS OF KEY VARIABLES BY PAY STRUCTURE

	Hourly wages		Piece rates	
Number of observations	13,106		15,246	
Variable	Mean	Standard deviation	Mean	Hourly wages
Units-per-worker-per-day	2.70	1.42	3.24	1.59
Actual pay	\$2,228	\$794	\$2,283	\$950
PPP pay	\$1,587	\$823	\$1,852	\$997
Cost-per-unit	\$44.43	\$75.55	\$35.24	\$49.00

Note: 1,485 observations were dropped because the individual spent part of the month on PPP and part on hourly wages.

(a) **Table 2: Mean and Standard Deviations of Key Variables by Pay Structure.** Piece rates raise output and reduce labor cost per unit.

TABLE 3—REGRESSION RESULTS

Regression number	Dummy for PPP person-month observation	Tenure	Time since PPP	New regime	R ²	Description
1	0.368 (0.013)				0.04	Dummies for month and year included
2	0.197 (0.009)				0.73	Dummies for month and year; worker-specific dummies included (2,755 individual workers)
3	0.313 (0.014)	0.343 (0.017)	0.107 (0.024)		0.05	Dummies for month and year included
4	0.202 (0.009)	0.224 (0.058)	0.273 (0.018)		0.76	Dummies for month and year; worker-specific dummies included (2,755 individual workers)
5	0.309 (0.014)	0.424 (0.019)	0.130 (0.024)	0.243 (0.025)	0.06	Dummies for month and year included

Notes: Standard errors are reported in parentheses below the coefficients.
Dependent variable: ln output-per-worker-per-day.
Number of observations: 29,837.

(b) **Table 3: Regression Results.** Worker fixed effects isolate the within-worker incentive response to PPP.

6.3 Table 4: Separation Rates by Regime and Decile; Figure 2: Scatterplot of Fixed Effects from the Two Regimes; Table 5: Variation in Fixed Effects

Read:

- Table 4 compares separation rates by output decile across regimes.
- The highest output deciles show lower separation rates under PPP, but the differences are not statistically decisive.
- Figure 2 plots fixed effects estimated in the hourly regime against fixed effects estimated in the piece-rate regime.
- The positive correlation indicates that worker productivity rankings are persistent across regimes.
- Table 5 shows similar fixed-effect dispersion across regimes, suggesting that the observed rise in output variance is not mainly a rise in underlying ability variance.

Economic message: Table 4 provides limited support for the turnover channel. Figure 2 and Table 5 are more important for interpretation: they show that worker ability matters and is persistent, but the rise in output dispersion is mostly behavioral rather than a mechanical increase in the dispersion of ability.

TABLE 4—SEPARATION RATES BY REGIME AND DECILE

Decile	Hourly regime			PPP regime			Difference between PPP and hourly separation rates	
	Separation rate	Number of observations	Standard error	Separation rate	Number of observations	Standard error	Difference	Standard error
Lowest								
0	0.041	1,641	0.005	0.039	1,285	0.005	−0.002	0.007
1	0.043	1,465	0.005	0.038	1,491	0.005	−0.006	0.007
2	0.042	1,358	0.005	0.037	1,625	0.005	−0.005	0.007
3	0.039	1,245	0.005	0.037	1,691	0.005	−0.002	0.007
4	0.037	1,282	0.005	0.034	1,693	0.004	−0.003	0.007
5	0.038	1,279	0.005	0.04	1,792	0.005	0.002	0.007
6	0.025	1,223	0.004	0.03	1,777	0.004	0.005	0.006
7	0.029	1,135	0.005	0.03	1,879	0.004	0.001	0.006
8	0.03	880	0.006	0.022	2,169	0.003	−0.008	0.007
9	0.033	2,437	0.004	0.027	339	0.009	−0.007	0.009
Highest								
Overall	0.033	13,945	0.002	0.036	15,741	0.002	0.003	0.002

Table 4: Separation Rates by Regime and Decile. High-output deciles show some decline in separation after PPP, consistent with retention of stronger workers.

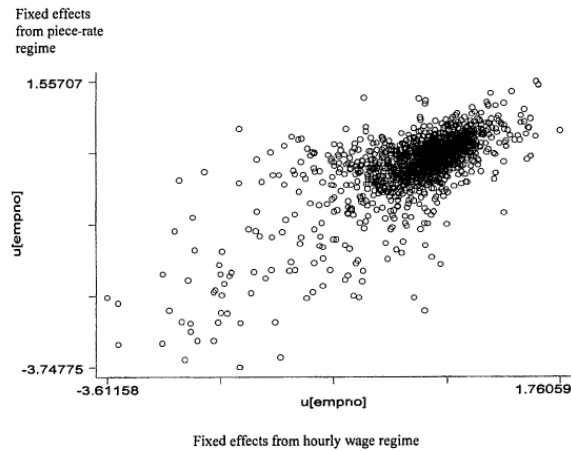


FIGURE 2. SCATTERPLOT OF FIXED EFFECTS FROM THE TWO REGIMES

(a) Figure 2: Scatterplot of Fixed Effects from the Two Regimes. Worker productivity rankings are positively correlated across pay systems.

TABLE 5—VARIATION IN FIXED EFFECTS

Regime	Number of individuals	Standard deviation in fixed effects	Difference between 90th and 10th percentile in fixed effects
Hourly wage	1,519	0.65	1.28
Piece rate	1,519	0.64	1.12

(b) Table 5: Variation in Fixed Effects. Fixed-effect dispersion is similar across regimes, limiting the ability-variance explanation.

6.4 Figure 3: Kernel Densities in the Two Regimes; Table 6: Regression Results

Read:

- Figure 3 shows the entire output distribution shifting to the right under piece rates.
- The peak density is lower under PPP, indicating less concentration around the modal output level.
- Table 6 shows that log pay per day rises by 0.068 without worker fixed effects and 0.099 with worker fixed effects.

- The fixed-effect estimate implies roughly a 10.6 percent pay gain for the same worker.
- Pay rises much less than productivity, suggesting that the firm captures a substantial portion of the productivity surplus.

Economic message: Figure 3 visually confirms the model’s prediction about dispersion. Table 6 shows rent sharing: workers benefit from the new plan, but the firm’s productivity gain is much larger than the pay increase.

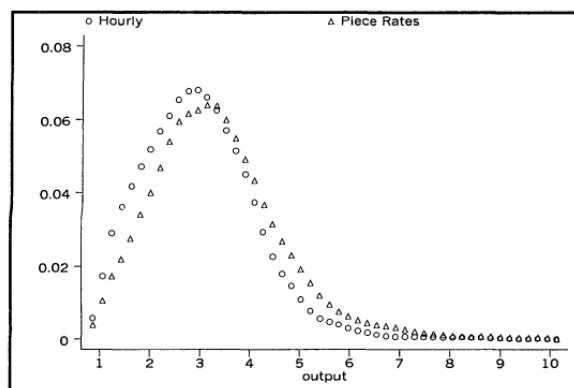


FIGURE 3. KERNEL DENSITIES IN THE TWO REGIMES

(a) **Figure 3: Kernel Densities in the Two Regimes.** The piece-rate output distribution shifts right and spreads out.

TABLE 6—REGRESSION RESULTS

Regression number	PPP dummy	R^2	Description
1	0.068 (0.005)	0.06	Dummies for month and year included
2	0.099 (0.004)	0.76	Dummies for month and year; worker-specific dummies included (2,755 individual workers)

Notes: Standard errors are reported in parentheses below the coefficients.

Dependent variable: In pay-per-day.

Number of observations: 29,837.

(b) **Table 6: Regression Results.** Workers’ pay rises under PPP, but less than productivity.

6.5 Table 7: Piece-Rate Proportions in the National Longitudinal Survey of Youth

Read:

- Table 7 shows that narrowly defined piece-rate pay is rare in the NLSY: only 3.3 percent of workers report being paid by piece rate.
- Piece rates are least common among managers, professionals, and clerical workers, where output is harder to measure.
- Piece rates are more common among nonfarm laborers and operatives, where output is easier to define and count.

Economic message: The rarity of piece rates is consistent with the paper’s interpretation. Piece rates can be powerful, but they are useful only where output can be measured and quality problems can be controlled.

TABLE 7—PIECE-RATE PROPORTIONS IN THE NATIONAL
LONGITUDINAL SURVEY OF YOUTH

Occupation	Number in occupation in NLSY	Percent piece rate
Professional/technical	1,848	1.4
Managers/officials/proprietors	468	0.9
Sales	477	1.3
Clerical	1,522	1.3
Craftsmen	2,278	3.6
Operatives	296	9.8
Nonfarm labor	543	13.8
Farm labor	6	16.7
TOTAL	7,438	3.3

Table 7: Piece-Rate Proportions in the National Longitudinal Survey of Youth. Piece rates are uncommon and concentrated in measurable-output jobs.

7 Short summary

- Safelite moved auto-glass installers from hourly wages to a piece-rate Performance Pay Plan with a wage guarantee.
- The model predicts that average output, average ability, and output variance should rise.
- The data contain 29,837 worker-month observations for 2,755 installers.
- Average productivity rises by about 44 percent after PPP.
- Worker fixed effects imply a within-worker incentive effect of about 22 percent.
- The remaining gain is attributed to sorting, hiring, and retention of more productive workers.
- Output dispersion rises under piece rates.
- Pay rises by about 10 percent for the same worker, less than productivity.
- Quality concerns appear limited in this setting because defects are traceable and costly.
- Piece rates are powerful but not universally optimal because measurement, quality, risk, and monitoring costs differ across jobs.

8 Conclusion

8.1 Core conclusion

Lazear provides one of the cleanest early field tests of incentive theory. In Safelite’s case, moving from hourly wages to a piece-rate plan sharply increases worker productivity. The increase is economically large, statistically precise, and consistent with the predictions of personnel economics.

8.2 Economic intuition

Hourly wages flatten the marginal return to output once the worker meets the minimum standard. Piece rates restore a marginal price of effort for workers who can exceed the guarantee threshold. High-ability workers respond most strongly because effort is less costly for them, and because the piece-rate plan lets them earn more by producing more.

8.3 What the paper adds beyond a simple before-after comparison

The key value of the paper is the decomposition of the productivity gain. The simple before-after effect is 44 percent, but worker fixed effects show that a given worker produces about 22 percent more under PPP. This means the regime change works through two channels: stronger effort by incumbents and improved workforce composition.

8.4 Policy and managerial implications

The paper does not imply that every firm should adopt piece rates. It implies that incentives matter greatly when output is measurable and quality distortions can be managed. In jobs with severe multitasking, team production, unmeasured quality, or costly monitoring, hourly wages or salaries may still dominate. The managerial lesson is to match the pay system to the measurability of the relevant performance margin.

8.5 Limitations

This is a single-firm study. The switch was not randomized at the worker level, and other management changes may have occurred around the same time. The design is strongest for within-worker productivity effects and weaker for broad claims about universal profitability of piece rates. Quality is discussed carefully, but it is not measured with the same precision as output.

8.6 Takeaway

The paper's lasting message is simple: workers respond to prices. When the marginal return to output rises, output rises. But the deeper lesson is more nuanced: compensation changes also change selection, retention, pay sharing, dispersion, and the organizational costs of measurement.